

Sustaining the Economic Ascent

India is at an inflexion point. The current momentum of economic growth, along with structural changes, will steer the vision of Viksit Bharat

T

124 |

THE INDIAN ECONOMY grew by 7% in financial year 2022-23 (FY23) and 8.2% in FY24, making it the fastest-growing large economy in a challenging global economic environment. Besides the current strengths, there are clear signs of important structural changes underway, all pointing to the likelihood of India becoming a developed nation by 2047.

Macroeconomic parameters are stable. There is clarity, consistency, and focus on long-term economic growth in the government's policy-making. The government has also been fiscally prudent. Even when the economic impact of Covid-19 was felt acutely, the government stayed away from the temptation of a large-scale fiscal stimulus. Instead, it focussed on directing credit to boost capital spending. The fiscal deficit has declined to 5.6% in FY24, with the possibility of reaching 3% by FY28. Foreign exchange reserves of nearly \$700 billion provide a cushion against external shocks.



BY RAJIV MEMANI

There is a strong financial institutional framework to oversee current and future growth. The government's fiscal prudence is complemented by a conservative central bank and an independent securities regulator. Balance sheets of banks are healthy, with net non-performing assets (NPAs) down to 0.6% and capital-to-risk weighted assets ratio of 16.8%. Indian corporates have de-leveraged, and the debt-to-equity ratio is at an all-time low of less than 0.9. Market capitalisation has crossed \$5 trillion on the back of strong and consistent domestic inflows rather than foreign institutional investor (FII) inflows, which can be erratic. The Indian stock market is the fourth-largest after the US, China, and Japan. There was a record 272 IPOs in FY24, benefitting both businesses seeking capital and providing PE and VC funds investment opportunities as well as exits. A combination of strong balance sheets, buoyant markets, and business optimism positions India for a stronger future capex cycle.

The government has been consistently driving capex through direct and increased spending on infrastructure. It also has a continuing focus on manufacturing. It is widely recognised that for sustained long-term growth, the country's workforce needs to transition from agriculture to manufacturing. The focus on skilling and job creation comple-